

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$5.04 ▲ 2.02%	12M Price Target \$5.50	52-Week Range \$3.01 – \$9.39	Market Cap \$2.41B
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BBAI: Reiterate Hold; Backlog Expansion Offset by Dilution Risk

WHAT'S CHANGED

- BBAI +20.6% over 4 sessions (\$4.18→\$5.04) on accelerating volume (105.5M shares yesterday vs. 65.6M five days prior), with options flow showing extreme bullish skew (P/C 0.12; 49,768 May \$5 calls at 2.3x OI).
- Catalyst stack: Panama cargo security deal (international expansion proof point), Zacks backlog-expansion piece (5/25), and PLTR comp framing (5/26) driving retail-led momentum into May expiry.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Dilution: history of ATM raises and convertible activity; share count growth could absorb operational improvement.
- Customer concentration in DoD/IC creates lumpy revenue and budget-cycle exposure (continuing resolution risk).
- Retail-driven momentum means a 30-40% drawdown is plausible on any earnings miss or broader risk-off rotation.

RECENT NEWS

- \$15 Under-the-Radar Enterprise AI Stock To Buy Today** 24/7 Wall St. · 2026-05-29 19:34
- SERV's DoorDash Momentum Builds: Can It Lift Robot Productivity?** Zacks · 2026-05-28 14:57
- Palantir vs. BigBear.ai: Which AI Stock Is the Better Buy in 2026?** Motley Fool · 2026-05-26 20:29
- Gorilla Technology to Report Q1 Earnings: Key Estimates Here** Zacks · 2026-05-26 17:02
- BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth?** Zacks · 2026-05-25 13:17

OPTIONS INTELLIGENCE

Put/Call Ratio	0.12
Call Vol / Put Vol	167,941 / 20,978
Flow Signal	BULLISH
Largest Unusual	PUT \$5.0 2026-06 (15.2x OI)

Bullish flow: P/C ratio 0.12 with unusual put block at \$5 strike (15.2x OI, \$166K notional). Institutional positioning appears long-oriented.

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-29 21:09 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$5.04
12M Price Target	\$5.50
Upside / (Downside)	+9.1%
Market Cap	\$2.41B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.48)
FY2027E EPS	(\$0.32)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.25	\$5.10	\$4.00
6 Months	\$7.50	\$5.75	\$3.50
1 Year	\$9.00	\$5.50	\$3.00
2 Years	\$12.00	\$7.00	\$2.50
5 Years	\$20.00	\$10.00	\$1.50
10 Years	\$35.00	\$15.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Communication Services, Utilities

ROTATION WATCH: Tech leadership (+6.95% 5D) suggests risk-on AI rotation continues near-term, but defensive sector weakness (Utilities -1.29%) indicates capital is chasing beta, not safety — favorable for BBAI tactically.

BYPRODUCT PLAY: Rising DoD AI/autonomy budgets benefit adjacent names like PLTR, KTOS, and AVAV; pure-play defense AI software vendors see multiple tailwind as procurement shifts from hardware to AI-enabled C4ISR.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): government segment growth >30% YoY with GAAP profitability — the benchmark BBAI is measured against.
- AVAV (AeroVironment): autonomous defense systems benefiting from same DoD AI procurement tailwind, with profitable model.

BBAI CONTEXT: BBAI is outperforming the broader Tech ETF on a 5D basis (+20.6% vs. +6.95%) but remains a high-beta retail vehicle rather than an institutional core position — relative strength reflects narrative catch-up, not fundamental closing of the PLTR gap.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — credible thematic positioning offset by unprofitability, dilution history, and stretched near-term technicals after a 20% 4-day run.

POSITION SIZE: 1-2% speculative sleeve; binary risk profile and 9 volatility score preclude core sizing.

ENTRY POINTS: \$4.00-4.30 on pullbacks to the 5/22-5/26 base; avoid chasing above \$5.25 ahead of May expiry unwind.

TIME HORIZON: 12-18 months; key catalyst is Q2 print (August) showing backlog-to-revenue conversion acceleration.

THESIS INVALIDATION: Gross margin compression below 25%, share count growth >10%, or sequential backlog decline.

HEDGING: Pair long BBAI with short PLTR (relative-value richness) or buy June \$4 protective puts; sell covered \$6 calls to fund downside given elevated IV.